

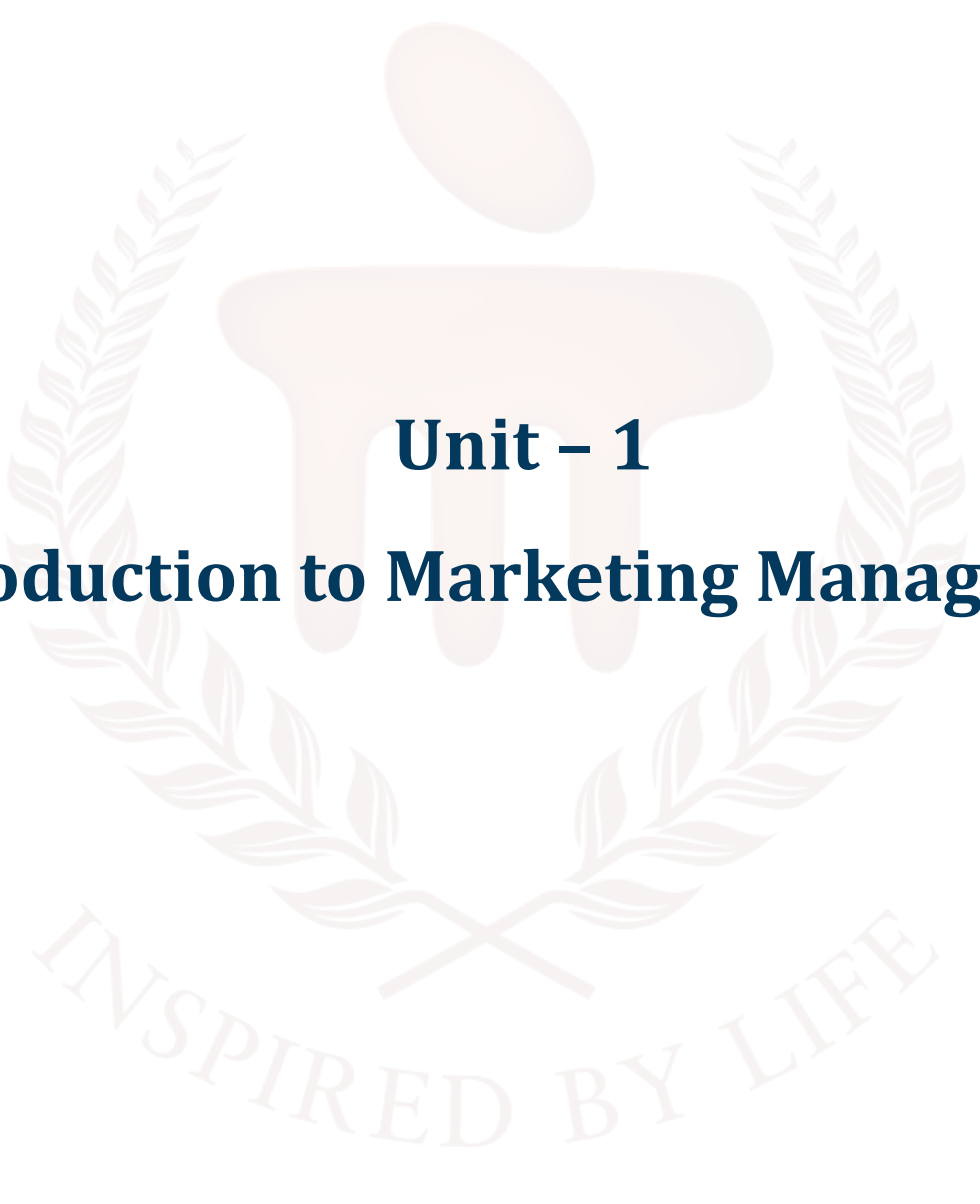
# MASTERS OF BUSINESS ADMINISTRATION

## SEMESTER 1



**DMBA119**

**MARKETING MANAGEMENT**



# **Unit – 1**

## **Introduction to Marketing Management**

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# 1. INTRODUCTION

Marketing is said to be as old as civilisation itself. In fact, marketing came into existence with the barter system. With the passage of time, barter system evolved into the art of selling. The origin of marketing dates back to the ancient civilisation when man used symbols, signs, and material artefacts to transact and communicate with others. The industrial revolution of 18th and 19th century further fostered the evolution of marketing. The rapid social change driven by technological and scientific innovation fuelled the systematic approach for marketing.

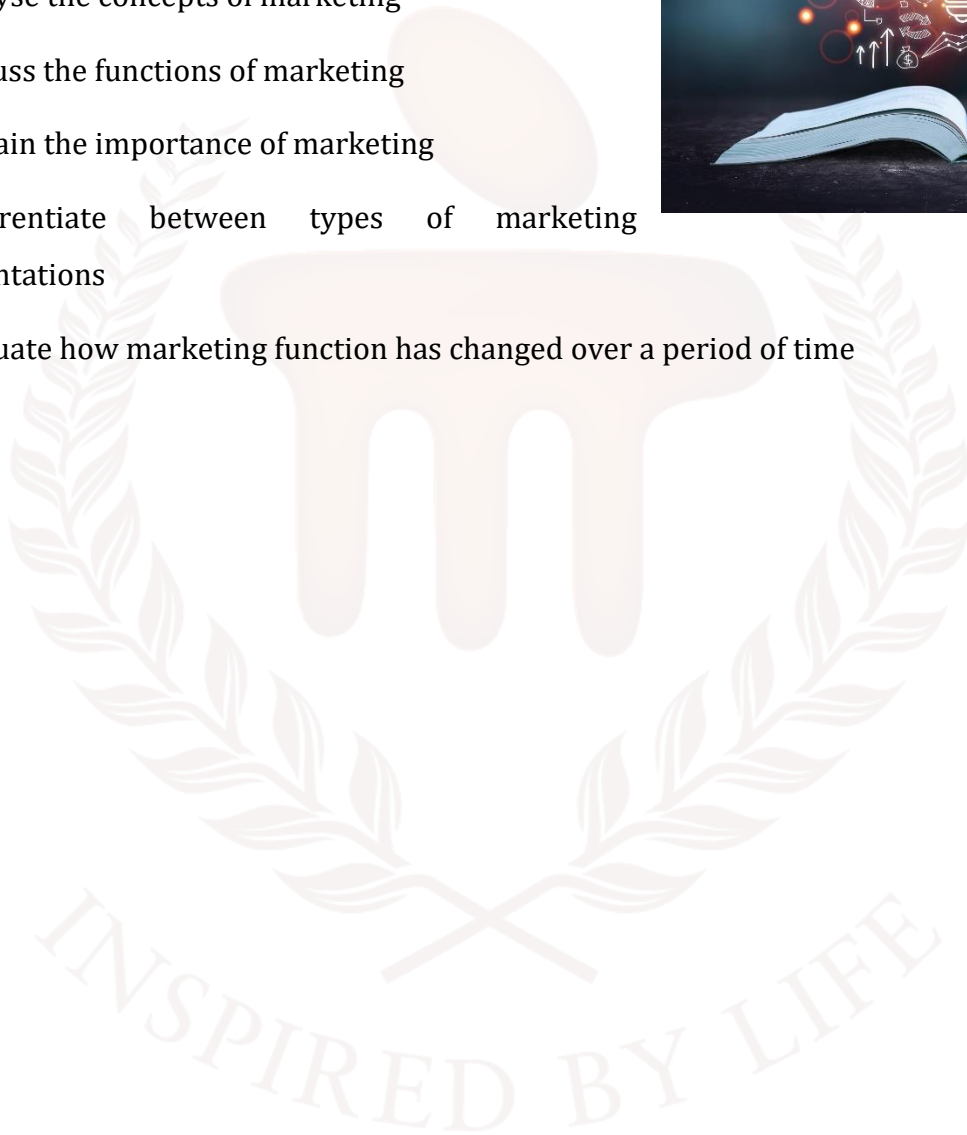
The late 50s observed the emergence of real marketing concept, which was entirely different from the sales concept. Higher level of competitiveness forced the marketers to depart from the traditional sales approach. Eventually, customer satisfaction became an inseparable function of marketing. Gradually, considering the long-term interest of society over the specific needs and interests of a given target market became important to marketing. This new approach was termed as social marketing. But, from 1960 onwards, most markets witnessed saturation, which pioneered the sophistication of marketing management.

In recent years, the advent and wide availability of the Internet completely changed the marketing concept. Increasingly demanding customers, rapid technological change, heterogeneous and fragmented markets, and intense competition led to the emergence of new branches of marketing, which could potentially meet the challenges of the 21st century marketer. The concept of marketing is based on identifying and meeting human and social needs. The shortest definition of marketing is “meeting needs profitably.” For example, Procter & Gamble observed that people want tasty but less fatty food and they come up with the idea of Olestra. Likewise, CarMax sensed people’s uncertainty while buying used automobile and invented an entirely new system for selling cars. The term ‘marketing’ is often used interchangeably with advertising or publicity and most importantly, sales. Marketing encompasses many activities like advertising, promotion, product design, etc.

## 1.1 Objectives

After studying this unit, you should be able to:

- define market and marketing
- analyse the concepts of marketing
- discuss the functions of marketing
- explain the importance of marketing
- differentiate between types of marketing orientations
- evaluate how marketing function has changed over a period of time



## 2. EVOLUTION OF MARKETING

The concept of marketing has undergone significant transformation, evolving in response to societal, technological, and economic changes. Initially, during the Industrial Revolution, businesses adopted a production orientation, focusing on efficiency and mass production. Companies like Ford epitomised this era with innovations such as the assembly line, prioritising affordability and availability over customer preferences. This evolved into a product orientation in the early 20th century, where businesses concentrated on improving quality and features, assuming superior products would naturally attract buyers. A classic example is Kodak, which focused on product innovation during this time. As competition intensified in the 1920s and 1930s, businesses shifted to a sales orientation, characterised by aggressive selling tactics and heavy advertising. This was particularly evident during the Great Depression when companies needed to create demand through persuasion. However, this approach often ignored customer needs, leading to short-term gains but long-term dissatisfaction.

The mid-20th century saw a revolution with the marketing orientation, which placed the customer at the heart of business strategies. Businesses began conducting market research to understand consumer behaviour, preferences, and satisfaction. The emergence of the marketing mix—product, price, place, and promotion—enabled companies to tailor their offerings. For example, Coca-Cola leveraged its global distribution network and localised marketing campaigns to reach diverse audiences effectively. In the contemporary era, societal and digital marketing orientation has emerged, combining customer satisfaction with societal well-being. Sustainability, ethical practices, and digital innovations define modern marketing. Brands like Patagonia lead in promoting sustainability, while Amazon and Netflix utilise big data and AI to personalise customer experiences, anticipating needs and preferences. From production-focused strategies to customer-centric and socially responsible practices, marketing has transformed into a dynamic, relationship-driven function. This evolution reflects a deeper understanding of consumer expectations, enabling businesses to adapt and thrive in changing environments.

### **Market**

A market is a collection of actual and potential buyers of a product or service. It is where the forces of demand and supply interact, creating opportunities for transactions. Markets can be physical, such as traditional marketplaces, or virtual, like e-commerce platforms. They involve not just the exchange of

goods but also the relationships and value interactions between consumers and sellers. For example, the consumer market consists of individuals purchasing goods like groceries, clothing, or electronics for personal use. In contrast, the \*business market\* includes organisations buying products such as machinery or raw materials for production. A company like Apple serves both markets: its iPhones are targeted at individual customers, while its enterprise solutions address business needs. Markets can also be segmented based on factors like demographics, geography, or behaviour. For instance, Nike segments its market by athletes' needs, offering specialised products for runners, basketball players, and footballers. We can thus say that a market is a dynamic ecosystem of needs, desires, and transactions. Understanding the market and consumer behaviour is essential for businesses to meet customer demands effectively and achieve success.



**Figure 1:** Modern Market: An example of a contemporary market design, highlighting modern architecture and layout. Traditional Market: A vivid scene from a street market in Jaisalmer, Rajasthan, India, showcasing vendors selling fresh vegetables and spices.

## Marketing

Marketing is the process of identifying, understanding, and satisfying customer needs and desires profitably. It involves creating value for customers through products or services while achieving organisational goals. At its core, marketing bridges the gap between a business and its customers, ensuring mutual benefit. It is not merely about selling but building relationships, delivering value, and fostering loyalty. The concept of marketing has evolved significantly. Traditionally, it centred on product availability and sales tactics. However, modern marketing is customer-focused, relying on research and data to meet the dynamic needs of a diverse audience. For instance, brands like Cadbury

personalise campaigns during festive seasons, such as creating customisable chocolate wrappers for special occasions, making the product more relatable and appealing to consumers. Marketing also involves the marketing mix—product, price, place, and promotion. Consider Apple: it offers innovative products (iPhones and Macs), premium pricing to position itself as a luxury brand, global availability through online and offline channels, and creative promotional campaigns like the "Shot on iPhone" series, showcasing customer-generated content to highlight product quality. Digital technology has revolutionised marketing, enabling brands to connect with customers more effectively. Amazon uses big data to recommend products based on user behaviour, creating a seamless shopping experience. Similarly, social media platforms like Instagram enable businesses to engage with target audiences through influencer collaborations and real-time interactions. Marketing extends beyond individual needs to societal concerns. Companies like The Body Shop focus on sustainability and ethical practices, appealing to environmentally conscious consumers. This reflects the growing importance of societal marketing, where businesses align profitability with responsibility.

**Widely recognised definitions of marketing:**

- American Marketing Association (AMA): "Marketing is the activity, set of institutions, and processes for creating, communicating, delivering, and exchanging offerings that have value for customers, clients, partners, and society at large".
- Philip Kotler: "Marketing is the science and art of exploring, creating, and delivering value to satisfy the needs of a target market at a profit. Marketing identifies unfulfilled needs and desires, defines, measures, and quantifies the size of the identified market, and determines the potential for profit".
- Peter Drucker: "The aim of marketing is to know and understand the customer so well that the product or service fits them and sells itself".



## 3. NATURE AND SCOPE OF MARKETING

Marketing is a dynamic and multifaceted function that plays a crucial role in connecting businesses with their customers. It is not limited to selling or advertising; instead, it encompasses a broad range of activities designed to identify, anticipate, and satisfy customer needs effectively and profitably. Marketing's nature reflects its role as both a science and an art, involving creativity, analytical skills, and strategic thinking.

### Nature of Marketing:

- **Customer-Centric:** Marketing's primary focus is understanding and addressing customer needs and preferences. A customer-centric approach ensures that products and services are tailored to deliver value and satisfaction. For example, Amazon employs sophisticated algorithms to personalise recommendations based on customers' browsing and purchase history. If a customer searches for fitness gear, they may be shown related products like yoga mats, water bottles, or exercise equipment, creating a seamless shopping experience. Additionally, Amazon Prime's features, such as free delivery and exclusive access to content, demonstrate how customer-focused strategies build loyalty and satisfaction.
- **Value Creation:** Marketing creates value by identifying unfulfilled needs and developing offerings to address them. This involves innovation, design, and quality. For instance, **Apple** consistently pushes the boundaries of technology to create products like the iPhone, which integrate cutting-edge features with user-friendly designs. Apple's focus on sleek aesthetics, functionality, and ecosystem integration (e.g., linking iPhones with Macs, iPads, and Apple Watches) enhances customer experiences, making its products valuable to consumers. This ability to solve real-world problems through innovation exemplifies value creation in marketing.
- **Continuous Process:** Marketing is not a one-time effort but a continuous activity that adapts to changing trends, technologies, and consumer behaviours. Brands must remain agile to stay relevant. For example, Netflix regularly updates its content library based on viewer preferences and invests in original programming like *The Crown* and *Stranger Things*. Moreover, it uses data analytics to suggest shows and films that align with individual tastes, ensuring viewers remain engaged. By staying attuned to market trends and consumer demands, Netflix maintains its position as a leading streaming service.

- **Relationship Building:** Modern marketing prioritises building and nurturing long-term relationships with customers rather than focusing solely on transactions. Starbucks demonstrates this by offering loyalty programmes like Starbucks Rewards, where customers earn points with each purchase. These points can be redeemed for free drinks or food, encouraging repeat visits. Starbucks also engages customers through personalised offers and seasonal menu items, fostering a sense of community and exclusivity. Such relationship-building strategies not only drive sales but also create emotional connections with the brand.
- **Integrated Function:** Marketing acts as an integrated function that connects different aspects of a business, such as product development, sales, and customer service. For instance, Nike collaborates across teams to design products that align with current trends, promotes them through impactful advertising campaigns like “Just Do It,” and ensures customer satisfaction through efficient service and digital tools like the Nike Training Club app. This integration ensures consistency in messaging and customer experience, aligning organisational goals with market demands and enhancing overall brand value.

### Scope of Marketing:

- **Goods and Services Marketing:** Marketing applies to both tangible goods and intangible services, catering to diverse consumer needs. Tangible goods, such as Nike’s sportswear and footwear, are marketed through innovative campaigns that highlight quality, performance, and style. For instance, Nike’s “Just Do It” campaign appeals to athletes and fitness enthusiasts by promoting empowerment and perseverance. In contrast, intangible services like **Spotify** rely on marketing to emphasise benefits such as personalised playlists, on-demand streaming, and ad-free experiences. Their campaigns, like “Wrapped,” engage users by showcasing their unique listening habits, effectively blending personalisation with entertainment.
- **Industrial Marketing:** Industrial or B2B marketing targets other organisations rather than individual consumers. It often involves customised solutions and long-term relationships. For example, IBM markets enterprise solutions like cloud computing, artificial intelligence, and data analytics to businesses. Their campaigns focus on demonstrating how these solutions improve efficiency and innovation. IBM’s partnership with Wimbledon to deliver AI-powered analytics and personalised fan experiences showcases industrial marketing in action, highlighting their ability to cater to specific business needs.

- **Consumer Marketing:** Consumer marketing focuses on individuals, aiming to meet their needs and preferences. Brands like Coca-Cola tailor their campaigns to resonate with local cultures and traditions. For instance, during Diwali in India or Christmas in the UK, Coca-Cola runs festive advertisements and introduces limited-edition packaging to connect emotionally with consumers. These efforts enhance brand loyalty by aligning the product with meaningful moments in customers' lives.
- **Digital Marketing:** With the advent of technology, digital marketing has become a powerful tool for reaching a global audience. Companies leverage platforms like Google Ads, Facebook, and Instagram for targeted advertising. For example, ASOS, a UK-based online retailer, uses digital marketing to showcase its fashion collections to a worldwide audience. Its focus on social media campaigns, influencer collaborations, and personalised email marketing highlights how digital channels create cost-effective and engaging outreach strategies.
- **Societal Marketing:** Societal marketing aligns business goals with social responsibility, ensuring that customer satisfaction does not come at the expense of societal well-being. The Body Shop exemplifies this by emphasising ethical sourcing, cruelty-free products, and sustainability. Campaigns such as "Forever Against Animal Testing" raise awareness about ethical practices, strengthening customer trust and loyalty while contributing to societal betterment.
- **Event and Experiential Marketing:** Event and experiential marketing aim to create memorable experiences and emotional connections with the audience. **Red Bull** is a leader in this domain, sponsoring extreme sports events such as the Red Bull Air Race and Formula 1. These events enhance brand visibility while reinforcing Red Bull's adventurous and energetic brand identity. Such immersive experiences foster a deep emotional connection, turning audiences into loyal customers.

## 4. CORE CONCEPTS OF MARKETING

Marketing is a social process that helps individuals and groups get what they need and want through creating and exchanging products and value with others. This definition rests on the core concepts as shown and discussed below:

- Needs, wants, and demands
- Target Markets, Positioning, and Segmentation
- Offerings and Brands
- Marketing Channels
- Paid, Owned, and Earned Media
- Impressions and Engagement
- Value and Satisfaction
- Supply Chain
- Competition
- Marketing Environment

### Needs, wants and demand

The concepts of needs, wants, and demands are fundamental in understanding consumer behaviour and form the basis of marketing strategies.

**Need:** Needs are the basic requirements essential for human survival and well-being. They are inherent and universal, such as food, water, shelter, and safety. Beyond physiological needs, people also have social and psychological needs, like belonging, esteem, and self-actualisation, as outlined in Maslow's hierarchy of needs. For example, a person needs food to survive. This is a fundamental, non-negotiable necessity that exists regardless of social or economic status. In marketing, companies aim to identify and address these needs in innovative ways. For instance, supermarkets like Tesco cater to the need for food by providing a range of products, including affordable options and organic produce. The five types of needs—stated, real, unstated, delight, and secret—help businesses tailor their offerings to provide maximum value and satisfaction.



- **Stated Needs:** Stated needs are the explicit requirements expressed by customers. These are straightforward and form the basis of their purchase decision. For instance, a customer might say, "I want an inexpensive car." The emphasis is on affordability, and companies like Dacia or Tata Motors target this need by offering low-cost vehicles such as the Tata Nano, which is marketed as an economical option for budget-conscious buyers.
- **Real Needs:** Real needs reflect the underlying desires behind a stated need, often related to practicality or long-term benefits. In the car example, while the customer asks for an inexpensive car, the real need might be a vehicle with low running and maintenance costs. Toyota addresses such needs with its hybrid models like the Prius, which are not just economical to operate but also environmentally friendly, offering added value.
- **Unstated Needs:** Unstated needs are expectations the customer does not explicitly mention but assumes will be met. For example, when purchasing a car, a customer may not state the expectation of receiving good service and support from the dealership. Companies like Lexus excel in meeting unstated needs by providing excellent customer service, such as free maintenance plans or swift issue resolution, enhancing the overall ownership experience.
- **Delight Needs:** Delight needs are features or benefits that customers do not expect but appreciate when offered. These create a sense of surprise and enhance customer satisfaction. For instance, a car buyer might not expect an onboard GPS system in a mid-range vehicle. Brands like Hyundai delight their customers by including advanced features like touchscreen infotainment or parking assist even in their budget-friendly models.
- **Secret Needs:** Secret needs are the emotional or psychological desires customers do not openly acknowledge but are influenced by. For instance, a customer might want a car that conveys their status or makes them appear savvy and successful to others. BMW or Mercedes-Benz cater to secret needs by emphasising luxury, performance, and prestige in their marketing, appealing to customers seeking social recognition.

By understanding and addressing these five types of needs, businesses can deliver superior value, ensuring customer satisfaction and loyalty. For example, a car brand that combines affordability (stated), fuel efficiency (real), excellent after-sales service (unstated), advanced features (delight), and a premium brand image (secret) will likely outperform competitors in meeting diverse customer expectations.

## Wants

Wants are the specific ways people choose to satisfy their needs, shaped by culture, personality, and individual preferences. While the need for food is universal, the want might differ—someone may desire a pizza, while another person might prefer a traditional Sunday roast. Wants are not essential for survival but are influenced by trends and marketing.

For example, Starbucks markets coffee as an experience rather than just a beverage. The need is hydration or energy, but the want becomes a customised latte served in a stylish café, reflecting the individual's lifestyle or status.

## Demands

Demands are wants backed by purchasing power. When people have the ability and willingness to pay for their wants, they turn into demands. Companies focus on converting wants into demands by creating desirable products that meet customers' preferences and budgets.

For instance, an individual may want the latest iPhone, but it becomes a demand only if they can afford it. Apple uses targeted marketing to emphasise the product's desirability, positioning it as a status symbol and an innovative tool, ensuring its appeal to those who can pay for it.

**Needs, wants, and demands** are interconnected but distinct concepts in marketing. Needs are essential for survival or well-being, such as food, shelter, or clothing. For example, a person needs food to sustain life. Wants are specific desires shaped by culture or individual preferences, like craving pizza instead of a simple meal. Demands arise when wants are backed by purchasing power—e.g., wanting an iPhone becomes a demand if one has the financial means to buy it. Businesses like McDonald's cater to needs (food), transform them into wants (burgers), and create demands through affordability and convenience, driving consumer engagement effectively.

## Target Markets, Positioning, and Segmentation:

In marketing, target markets, positioning, and segmentation are fundamental concepts that enable businesses to connect effectively with their audience.

### Target Markets

A target market is a specific group of customers that a company aims to serve with its products or services. It is identified based on characteristics such as demographics, geography, or behaviour. For example, **Nike** targets athletes and fitness enthusiasts through its sportswear and gear, focusing on

individuals who prioritise performance and style. Identifying a target market ensures that marketing efforts are directed toward the most relevant audience, maximising efficiency and impact.

## Segmentation

Market segmentation involves dividing a broad market into smaller, more manageable groups with similar characteristics or needs. This allows businesses to tailor their offerings and marketing strategies effectively. For instance, **Coca-Cola** segments its market based on demographics (age groups), geography (global markets with localised campaigns), and lifestyle preferences (e.g., Coke Zero for calorie-conscious individuals). By catering to these distinct segments, Coca-Cola ensures it appeals to a diverse range of customers while meeting their specific needs.

## Positioning

Positioning refers to the process of creating a unique image or identity for a product in the minds of the target market. It differentiates a brand from competitors and communicates its value proposition. For example, **Tesla** positions itself as an innovator in electric vehicles, focusing on sustainability and cutting-edge technology. Its marketing highlights features like long-range batteries and autopilot capabilities, appealing to environmentally conscious and tech-savvy consumers.

By integrating these concepts, businesses can identify their ideal audience, understand their needs, and create tailored marketing strategies. For instance, **Apple** targets premium customers (target market), segments them by income and lifestyle, and positions itself as a brand offering innovation, simplicity, and status. This strategic approach fosters strong customer connections and brand loyalty.

## Offerings and Brands

An offering in marketing refers to the complete bundle of products, services, and experiences that a company provides to satisfy customer needs and deliver value. It includes both tangible goods and intangible services, combined with supplementary benefits like warranties, customer support, or personalisation. For instance, IKEA doesn't just sell furniture; its offering includes affordable, stylish designs, flat-pack convenience, and a seamless in-store experience supported by delivery and assembly services.

A brand, on the other hand, is the identity and perception associated with an offering. It encompasses the name, logo, design, and emotional connection a customer forms with a company or product. A strong brand differentiates an offering in a competitive market. For example, Coca-Cola isn't just a

soft drink—it's a globally recognised brand symbolising happiness, togetherness, and tradition. The brand's value lies in its consistent messaging and the emotional resonance it creates with its audience. Together, offerings and brands work to create value and loyalty. While the offering addresses functional needs, the brand builds trust, recognition, and emotional attachment. For instance, Apple combines innovative technology (offering) with a premium and aspirational brand identity, making it a leader in the tech industry. This synergy drives customer engagement and retention.

## Marketing Channels

Marketing channels refer to the pathways or systems through which products or services are delivered from producers to consumers. They ensure that goods reach the right customers at the right time, place, and in the desired quantity. Channels can be direct, where manufacturers sell directly to customers (e.g., via online stores), or indirect, involving intermediaries like wholesalers, distributors, and retailers.

For example, Amazon uses a direct-to-consumer channel, enabling customers to purchase products directly from its platform. In contrast, Coca-Cola employs an indirect channel, working with distributors and retailers to ensure its beverages are available globally.

Channels also include digital platforms, such as eBay, which connects buyers and sellers, and physical stores like Tesco, which serve as intermediaries. Efficient marketing channels improve availability, reduce costs, and enhance customer satisfaction. They play a vital role in creating value by streamlining the journey from production to consumption.

## Paid, Owned, and Earned Media

**Paid, Owned, and Earned Media** are three core components of a successful marketing strategy, each playing a unique role in reaching and engaging audiences.

- **Paid Media:** Paid media involves any marketing effort where a brand pays to promote its message or product. Examples include display ads, social media advertisements, pay-per-click campaigns, and influencer partnerships. For instance, a fashion retailer like ASOS might run Instagram ads showcasing new collections to drive traffic to its website. Paid media helps amplify reach quickly but requires a continuous budget.
- **Owned Media:** Owned media refers to the channels a brand controls, such as its website, blog, email newsletters, and social media profiles. These platforms allow businesses to communicate directly with their audience. For example, Tesco uses its website and app to



share promotions, recipes, and loyalty rewards, creating a direct connection with customers. Owned media builds long-term relationships and enhances brand identity.

- **Earned Media:** Earned media is publicity gained organically through word-of-mouth, reviews, or media coverage. It often stems from exceptional products or campaigns. For instance, Dyson's innovative vacuum cleaners generate positive reviews and press mentions without the company paying for it. Earned media is highly credible as it reflects genuine customer sentiment but is harder to control.

A balanced mix of these three elements ensures effective and comprehensive marketing.

### **Impressions and Engagement**

Impressions and engagement are key metrics in marketing, particularly in digital campaigns.

Impressions refer to the number of times an advertisement, post, or content is displayed, regardless of whether it is interacted with. For instance, if a Facebook ad for Nike trainers appears on 1,000 users' feeds, it generates 1,000 impressions. Impressions measure reach and visibility but not user interaction.

Engagement, on the other hand, indicates user interaction with the content, such as likes, comments, shares, or clicks. It reflects how effectively the content resonates with the audience. For example, an Instagram post by Starbucks showcasing a festive drink might garner 500 likes and 100 comments, indicating strong engagement.

While impressions build awareness, engagement measures audience interest and connection, making both crucial for evaluating marketing success.

### **Value and Satisfaction**

In marketing, value refers to the perceived benefit a customer receives compared to the cost of obtaining a product or service. It is subjective and depends on how well the product meets the customer's needs and expectations. For instance, a person purchasing a Tesla values its environmental benefits, innovative technology, and performance, which justify its higher price.

Satisfaction is the customer's level of contentment after using a product or service. It occurs when the perceived value meets or exceeds expectations. For example, a diner at Nando's expects quality food and a pleasant dining experience; if the service and taste exceed these expectations, customer satisfaction increases, leading to repeat business.

Marketing focuses on enhancing both value and satisfaction by offering quality products, reliable services, and engaging experiences. Companies like Amazon, for instance, combine convenience, competitive pricing, and excellent customer support to create high value and ensure customer satisfaction.

### Supply Chain

The supply chain in marketing refers to the network of organisations, people, activities, information, and resources involved in producing and delivering a product or service to the end consumer. It encompasses sourcing raw materials, manufacturing, transportation, and distribution. Effective supply chain management ensures timely delivery, cost efficiency, and customer satisfaction.

For example, Zara uses a highly efficient supply chain to deliver trendy clothing quickly from design to stores, ensuring products meet current fashion demands. Similarly, Amazon employs advanced logistics and warehousing to enable same-day or next-day delivery, showcasing how supply chain optimisation enhances competitiveness and customer loyalty.

### Competition

Competition in marketing refers to the rivalry between businesses to attract and retain customers by offering better value, quality, or experience. It drives innovation, pricing strategies, and customer service improvements. For example, Coca-Cola and Pepsi compete in the beverage market through advertising, product differentiation (e.g., Coca-Cola's classic taste vs Pepsi's sweeter profile), and promotional offers. Similarly, in the tech industry, Apple and Samsung vie for smartphone market share by introducing cutting-edge features and sleek designs. Healthy competition encourages businesses to understand customer needs better and continuously improve, ultimately benefiting consumers with more choices and higher quality products or services.

### Marketing Environment

The *marketing environment* encompasses all external and internal factors that influence a company's marketing activities. It consists of forces beyond a company's control (external) and elements within its control (internal) that shape its ability to interact with customers and achieve business objectives.

**Internal Environment:** The internal environment includes elements within the organisation, such as employees, company culture, technology, and management. For example, **Apple** fosters innovation through a strong organisational culture, enabling the development of industry-leading products like

the iPhone. Internal factors are crucial as they determine the organisation's capacity to deliver on its marketing strategies.

## External Environment

The external environment is divided into two categories:

- **Microenvironment:** These are close external factors, such as suppliers, competitors, customers, and intermediaries. For instance, Tesco relies on strong supplier relationships to ensure the availability of fresh produce, meeting customer expectations.
- **Macroenvironment:** These are broader societal factors, such as political, economic, social, technological, environmental, and legal forces (PESTEL). For example, Unilever adapts its marketing by promoting sustainability to align with growing environmental awareness, reflecting macroeconomic trends.

## SELF-ASSESSMENT QUESTIONS – 1

| Multiple Choice Questions: |                                                                                                                                                                                                                                                                                                  |
|----------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 1                          | Which of the following is an example of a stated need?<br>a) A customer desires a car with low operating costs.<br>b) A customer says they want an inexpensive car.<br>c) A customer expects excellent service from the car dealer.<br>d) A customer wants their car to have advanced features.  |
| 2                          | What is the key difference between needs and wants?<br>a) Needs are shaped by culture, while wants are universal.<br>b) Needs are universal, while wants are shaped by culture and preferences.<br>c) Needs are intangible, while wants are tangible.<br>d) Needs and wants are interchangeable. |
| 3                          | Which of the following best represents an augmented product?<br>a) A smartphone with a sleek design.<br>b) A smartphone offering free software updates and warranties.<br>c) A smartphone used for communication.<br>d) A smartphone brand with global recognition.                              |

|                                 |                                                                                                                                                                                                                                                                                                                                                                 |
|---------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 4                               | <p>What does the microenvironment in marketing include?</p> <ul style="list-style-type: none"> <li>a) Political and legal forces.</li> <li>b) Employees and company culture.</li> <li>c) Competitors, suppliers, and customers.</li> <li>d) Technological advancements and economic conditions.</li> </ul>                                                      |
| 5                               | <p>Which of the following is an example of societal marketing?</p> <ul style="list-style-type: none"> <li>a) Promoting a product with a discount.</li> <li>b) Launching an eco-friendly product to address environmental concerns.</li> <li>c) Offering free delivery to customers.</li> <li>d) Using influencer marketing for a new product launch.</li> </ul> |
| 6                               | <p>What is the core product of a car?</p> <ul style="list-style-type: none"> <li>a) Transportation and mobility.</li> <li>b) Low maintenance costs.</li> <li>c) Free insurance plans.</li> <li>d) Onboard entertainment systems.</li> </ul>                                                                                                                     |
| 7                               | <p>Which type of need is illustrated when a customer wants their purchase to reflect their status?</p> <ul style="list-style-type: none"> <li>a) Stated needs.</li> <li>b) Real needs.</li> <li>c) Secret needs.</li> <li>d) Delight needs.</li> </ul>                                                                                                          |
| 8                               | <p>Which of the following is a part of the macroenvironment?</p> <ul style="list-style-type: none"> <li>a) Suppliers.</li> <li>b) Competitors.</li> <li>c) Political and legal forces.</li> <li>d) Customers.</li> </ul>                                                                                                                                        |
| <b>True or False Questions:</b> |                                                                                                                                                                                                                                                                                                                                                                 |
| 9                               | A demand arises when a want is backed by purchasing power.                                                                                                                                                                                                                                                                                                      |
| 10                              | Internal marketing environment factors are beyond the organisation's control.                                                                                                                                                                                                                                                                                   |



## 5. FUNCTIONS OF MARKETING

Marketing encompasses various functions aimed at identifying, anticipating, and satisfying customer needs while achieving business goals. These functions form the backbone of a successful marketing strategy.

- **Market Research:** Market research involves collecting and analysing data to understand customer behaviour, preferences, and market trends. It helps businesses make informed decisions and identify opportunities. For example, Tesco conducts customer surveys and analyses purchasing patterns through its Clubcard programme, enabling it to personalise promotions and stock products that align with customer demands, enhancing satisfaction and loyalty.
- **Product Development:** Product development focuses on designing and improving products to meet customer needs and expectations. For example, **Dyson** consistently innovates its vacuum cleaners, adding features like cordless designs and advanced suction technology. These improvements address customer demands for convenience and efficiency, ensuring the brand remains a market leader in home appliances.
- **Pricing:** Pricing involves setting a price that reflects a product's value, is competitive, and ensures profitability. For instance, Primark uses cost-effective pricing strategies to appeal to budget-conscious shoppers, while Louis Vuitton employs premium pricing to maintain its image as a luxury brand. Effective pricing strategies help businesses target the right audience and achieve financial goals.
- **Promotion:** Promotion includes advertising, sales promotions, and public relations to increase awareness and persuade customers. For example, Coca-Cola's Christmas campaigns use nostalgic and heart-warming adverts to connect emotionally with consumers, strengthening its brand identity. Effective promotion ensures a product remains top-of-mind for customers, driving sales and loyalty.
- **Distribution:** Distribution ensures products are available to customers at the right time and place. For example, Amazon leverages its extensive logistics network to offer fast and reliable delivery options. Its services, including same-day delivery, provide customers with convenience, enhancing their overall shopping experience and fostering brand loyalty.

- **Customer Relationship Management (CRM):** CRM focuses on building and nurturing long-term relationships with customers. For instance, **Starbucks** rewards customer loyalty through its Starbucks Rewards programme, offering benefits such as free drinks and exclusive discounts. This strengthens customer engagement, encourages repeat purchases, and fosters a sense of community around the brand.
- **Branding:** Branding involves creating a distinct and recognisable identity for a product or service. For example, **Nike's** iconic swoosh logo and "Just Do It" slogan resonate with customers, symbolising empowerment and excellence. Strong branding helps businesses differentiate themselves in competitive markets and build a loyal customer base.



## 6. IMPORTANCE OF MARKETING

Marketing is essential for businesses as it connects them with customers, drives sales, and ensures long-term success. It creates awareness about products and services, helping companies reach their target audience effectively. By identifying and addressing customer needs, marketing ensures that businesses remain relevant and competitive.

One of marketing's key roles is to build strong brand awareness. For instance, **Nike's** "Just Do It" campaign has become synonymous with motivation and athleticism, helping the company establish a global presence. Effective marketing campaigns like this foster brand recognition, making customers more likely to choose a product over competitors.

Marketing also helps businesses adapt to changing consumer preferences and market trends. For example, **Unilever** shifted towards sustainable marketing by introducing eco-friendly product lines, appealing to environmentally conscious consumers. This approach not only meets customer demands but also enhances the company's reputation.

Furthermore, marketing drives innovation. Companies like **Apple** use marketing insights to develop products like the iPhone, which combine cutting-edge features with consumer preferences.

Marketing doesn't just promote products; it builds relationships. Loyalty programmes, such as **Tesco's Clubcard**, reward customers and encourage repeat purchases, increasing retention.

Marketing is vital for creating value, driving growth, and ensuring a company's relevance in an ever-changing market landscape.

## 7. SELLING V/S MARKETING

Selling and marketing are closely related but fundamentally different concepts. Selling focuses on the transaction of a product or service, while marketing encompasses a broader scope, including identifying customer needs, creating value, and building long-term relationships. Below are the key differences:

### Focus

- **Selling:** Selling is product-oriented. The primary goal is to persuade customers to purchase what the business already offers. For example, a car dealership may emphasise promotions or discounts to close a sale without considering the buyer's broader needs.
- **Marketing:** Marketing is customer-oriented. It involves understanding customer preferences and creating products or services to meet their needs. For instance, **Toyota** markets hybrid cars like the Prius to environmentally conscious customers, addressing their desire for sustainability and fuel efficiency.

### Scope

- **Selling:** Selling is a narrow activity centred on the final act of convincing customers to buy. It often involves short-term strategies, such as cold calling or direct selling.
- **Marketing:** Marketing is a comprehensive process that includes market research, product development, pricing, promotion, and distribution. For example, **Unilever** uses extensive market research to create products like Dove, which are tailored to customer preferences and promoted with campaigns emphasising self-esteem.

### Objective

- **Selling:** The objective is to maximise sales volume. It is often transactional, focusing on achieving immediate results. A salesperson at a mobile shop pushing a specific phone model to meet a monthly sales target is an example of a selling-focused approach.
- **Marketing:** The objective is to build long-term customer relationships and ensure satisfaction. For instance, **Amazon** uses personalised recommendations and loyalty programmes like Prime to enhance customer retention and satisfaction, going beyond individual transactions.

### Strategy

- **Selling:** Selling uses a push strategy, focusing on getting the product to the customer. This may involve aggressive advertising or personal selling techniques.
- **Marketing:** Marketing employs a pull strategy, creating demand through customer engagement, advertising, and brand-building activities. For example, **Coca-Cola** uses emotional storytelling in its advertisements to connect with customers, creating a desire for its products.

While selling is a part of the marketing process, it represents a narrow, transaction-focused activity. Marketing, on the other hand, is a holistic approach that seeks to understand customer needs, deliver value, and build lasting relationships. Companies that prioritise marketing over selling, like **Apple** or **Starbucks**, often achieve stronger brand loyalty and sustainable success.

| Aspect              | Selling                                                                                  | Marketing                                                                                           |
|---------------------|------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------|
| <b>Focus</b>        | Product-oriented; aims to persuade customers to purchase existing products.              | Customer-oriented; focuses on understanding and meeting customer needs.                             |
| <b>Scope</b>        | Narrow; centred on the final act of selling a product or service.                        | Comprehensive; includes market research, product development, pricing, promotion, and distribution. |
| <b>Objective</b>    | Maximise sales volume; focuses on immediate results.                                     | Build long-term customer relationships and satisfaction.                                            |
| <b>Strategy</b>     | Push strategy; uses aggressive selling techniques like advertising and personal selling. | Pull strategy; creates demand through customer engagement, advertising, and brand building.         |
| <b>Overall View</b> | Transactional; focuses on completing individual sales.                                   | Holistic; aims for sustained customer satisfaction and brand loyalty.                               |



## SELF-ASSESSMENT QUESTIONS – 2

| <b>Multiple Choice Questions:</b> |                                                                                                                                                                                                                                                                                                                                                                                                                   |
|-----------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 11                                | <p>What is the primary focus of selling?</p> <ul style="list-style-type: none"> <li>a) Understanding customer needs and preferences.</li> <li>b) Persuading customers to purchase existing products.</li> <li>c) Building long-term customer relationships.</li> <li>d) Conducting market research to develop new products.</li> </ul>                                                                            |
| 12                                | <p>Which of the following is an example of a pull strategy in marketing?</p> <ul style="list-style-type: none"> <li>a) A salesperson offering discounts to push product sales.</li> <li>b) Coca-Cola creating emotional advertisements to attract customers.</li> <li>c) A direct sales campaign for a limited-time offer.</li> <li>d) A mobile shop promoting a specific phone model to meet targets.</li> </ul> |
| 13                                | <p>Which of the following functions of marketing focuses on setting a price that reflects value, competition, and profitability?</p> <ul style="list-style-type: none"> <li>a) Promotion</li> <li>b) Pricing</li> <li>c) Branding</li> <li>d) Distribution</li> </ul>                                                                                                                                             |
| 14                                | <p>What is an example of customer relationship management (CRM)?</p> <ul style="list-style-type: none"> <li>a) Conducting surveys to understand customer preferences.</li> <li>b) Offering loyalty programmes like Starbucks Rewards.</li> <li>c) Developing a new product based on market trends.</li> <li>d) Setting competitive pricing for a product.</li> </ul>                                              |
| <b>True or False Questions:</b>   |                                                                                                                                                                                                                                                                                                                                                                                                                   |
| 15                                | <p>Marketing has a broader scope than selling and includes activities like market research, product development, and promotion.</p>                                                                                                                                                                                                                                                                               |

## 8. MARKETING ORIENTATIONS

Marketing orientation refers to the philosophy or approach a business adopts to guide its marketing strategies. Over time, organisations have evolved their orientation to align with customer expectations, societal needs, and market conditions. The following are the main types of marketing orientations,

### **Production Concept**

Production concept prioritises efficiency and affordability. Businesses adopting this approach focus on producing goods in large quantities to minimise costs and maximise availability. This orientation assumes that customers value products that are accessible and affordable, often neglecting individual preferences or market trends. It was prevalent during the Industrial Revolution, when the primary objective was mass production.

**Example:** Ford's introduction of the Model T is a classic example. Using assembly line production, Ford made cars affordable and accessible to a larger audience. This strategy worked in an era where affordability outweighed customisation. However, in today's diverse markets, production orientation alone is insufficient, as customers expect variety and personalisation.

Production concept enables businesses to focus on efficiency and cost reduction. By producing goods on a large scale, companies can offer affordable products to customers, making them more accessible. This approach works well in markets with high demand for standardised products, such as basic commodities. For example, Ford's Model T achieved affordability through mass production, revolutionising car ownership.

The major drawback is the neglect of customer preferences. Standardisation can lead to a lack of variety, making the product less appealing in diverse markets. This approach also assumes that demand exists without considering competition or evolving trends. For instance, focusing solely on efficiency might leave a company unable to respond to competitors offering customised or innovative alternatives.

### **Product Concept**

Product concept emphasises product quality, features, and innovation. Companies with this approach believe that superior products will automatically attract customers, often overlooking changing

preferences or external competition. While it ensures high-quality offerings, it risks market irrelevance if customer needs are not prioritised.

**Example:** Kodak's focus on producing high-quality film cameras exemplifies product orientation. Despite their technical excellence, Kodak failed to adapt to the digital photography revolution, demonstrating the limitations of this approach. Today, businesses must balance product excellence with customer-centric strategies to stay competitive.

Product concept drives innovation and quality improvement. Businesses prioritising superior products can establish themselves as leaders in their industries, gaining customer trust. For example, Apple's focus on high-quality technology fosters strong brand loyalty, with customers valuing its reliability and innovation.

This approach risks overlooking customer needs and market trends. Businesses may produce excellent products that fail to resonate with customers due to misaligned features or outdated functionality. For instance, Kodak's focus on film cameras ignored the shift to digital photography, leading to market irrelevance despite its product quality.

### **Sales Concept**

Sales concept centres on aggressive selling and promotional efforts. This approach assumes customers need persuasion to purchase products, even if they do not perfectly match their needs. Companies often use discounts, promotions, and advertising to boost short-term sales.

**Example:** Telecom providers frequently adopt sales orientation by offering promotional deals, such as discounted plans or free devices, to attract new customers. While this strategy increases immediate revenue, it often fails to foster long-term customer loyalty, as customers may switch to competitors offering better deals.

Sales concept can generate quick revenue through aggressive promotional tactics and discounts. It is particularly effective in competitive or saturated markets, helping businesses clear inventory or attract customers. Telecom providers, for example, use this strategy to increase subscriptions through attractive limited-time offers.

This approach prioritises short-term gains over long-term relationships. Customers drawn by discounts may switch to competitors offering better deals. Moreover, aggressive selling can feel pushy, alienating potential customers. Without addressing customer satisfaction, businesses may struggle to retain loyalty or build a strong brand reputation.

## Marketing Concept

Marketing concept focuses on understanding and fulfilling customer needs. It integrates market research, customer feedback, and tailored offerings to ensure satisfaction. Unlike other approaches, it prioritises building long-term relationships and loyalty.

**Example:** Amazon exemplifies marketing orientation by using customer data to offer personalised product recommendations and services like Prime. Their customer-first approach, including reliable delivery and easy returns, has made them a market leader. Businesses adopting marketing orientation gain a competitive edge by aligning their strategies with customer expectations.

Marketing concept builds customer loyalty and satisfaction by aligning offerings with customer needs. This approach fosters long-term relationships and enhances a company's adaptability to changing trends. For instance, Amazon's customer-centric strategies, like personalised recommendations, ensure sustained market leadership.

It requires significant investment in research, data collection, and customer engagement. Small businesses with limited resources may find it challenging to implement. Additionally, over-reliance on customer feedback can delay innovation, as companies focus more on meeting current preferences than anticipating future trends.

## Societal Marketing Concept

Societal marketing concept goes beyond customer satisfaction to consider social and environmental well-being. Businesses with this focus aim to balance profitability with ethical practices and sustainability.

**Example:** The Body Shop adopts societal marketing by offering cruelty-free and sustainably sourced products. Campaigns like "Forever Against Animal Testing" resonate with socially conscious consumers. This approach attracts customers who value ethical brands, strengthening trust and loyalty while contributing positively to society.

Societal marketing enhances brand reputation by aligning with social and environmental values. Businesses like The Body Shop attract conscious consumers, strengthening trust and loyalty. It also creates a positive impact on society, positioning the company as ethical and responsible.

This approach often involves higher costs due to sustainable practices and ethical sourcing. These expenses may translate into higher prices, limiting the customer base to those willing to pay a

premium. Additionally, businesses risk backlash if their efforts are perceived as superficial or insincere, such as accusations of "greenwashing."

### **Holistic Marketing Concept**

Holistic marketing integrates all aspects of marketing into a unified strategy. It considers branding, customer relationships, sustainability, and employee engagement to deliver a cohesive message and create long-term value.

**Example:** Nike employs holistic marketing through consistent branding, innovative product designs, and social responsibility campaigns like "Move to Zero" (carbon neutrality). By integrating product innovation, athlete endorsements, and sustainability, Nike creates a powerful and consistent brand identity that resonates globally.

Holistic marketing ensures a consistent brand image by integrating all marketing functions, from branding to sustainability. It aligns organisational objectives with customer and societal expectations. For example, Nike's cohesive strategy blends innovation, endorsements, and social responsibility, creating global appeal.

This approach requires extensive coordination and resources, making it complex and costly to implement. Small or fragmented organisations may struggle to align all marketing elements effectively. Additionally, achieving consistency across various channels can be challenging, risking mixed messages that confuse customers.



## SELF-ASSESSMENT QUESTIONS – 3

| <b>Multiple Choice Questions:</b> |                                                                                                                                                                                                                                                                                                                                    |
|-----------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 16                                | <p>What is the primary focus of production orientation?</p> <ul style="list-style-type: none"> <li>a) Customer satisfaction</li> <li>b) Efficiency and affordability</li> <li>c) Long-term relationships</li> <li>d) Market research</li> </ul>                                                                                    |
| 17                                | <p>Which marketing orientation is characterised by high-quality product development, often at the expense of market trends?</p> <ul style="list-style-type: none"> <li>a) Societal marketing orientation</li> <li>b) Sales orientation</li> <li>c) Product orientation</li> <li>d) Holistic marketing orientation</li> </ul>       |
| 18                                | <p>Which of the following companies exemplifies societal marketing orientation?</p> <ul style="list-style-type: none"> <li>a) Ford with mass production</li> <li>b) The Body Shop with ethical sourcing</li> <li>c) Kodak with high-quality cameras</li> <li>d) Telecom providers with aggressive promotions</li> </ul>            |
| 19                                | <p>What is the key objective of sales orientation?</p> <ul style="list-style-type: none"> <li>a) Maximising long-term customer satisfaction</li> <li>b) Increasing short-term sales through promotions</li> <li>c) Integrating marketing functions</li> <li>d) Focusing on sustainability and ethics</li> </ul>                    |
| 20                                | <p>Which marketing orientation considers all aspects of the business, including branding, sustainability, and customer relationships?</p> <ul style="list-style-type: none"> <li>a) Production orientation</li> <li>b) Marketing orientation</li> <li>c) Holistic marketing orientation</li> <li>d) Product orientation</li> </ul> |
| <b>True or False Questions:</b>   |                                                                                                                                                                                                                                                                                                                                    |

|    |                                                                                                                                  |
|----|----------------------------------------------------------------------------------------------------------------------------------|
| 21 | Production orientation focuses on efficiency and affordability, often neglecting customer preferences.                           |
| 22 | Product orientation ensures long-term customer loyalty by prioritising customer feedback over product quality.                   |
| 23 | Sales orientation relies on aggressive selling tactics to achieve short-term revenue goals.                                      |
| 24 | Societal marketing orientation prioritises customer satisfaction over environmental and social concerns.                         |
| 25 | Holistic marketing orientation integrates all aspects of marketing, including branding, sustainability, and customer engagement. |



## 9. SUMMARY

- **Marketing Origins:** Marketing evolved from the barter system to sales-focused approaches and later into modern customer-centric and societal marketing.
- **Industrial Revolution:** Introduced production orientation, focusing on efficiency and affordability, as seen with Ford's assembly line for the Model T.
- **Product Orientation:** Emphasised quality and innovation, with Kodak leading in film cameras but failing to adapt to digital trends.
- **Sales Orientation:** Relied on aggressive selling and advertising, especially during the Great Depression, focusing on short-term results.
- **Marketing Orientation:** Introduced in the mid-20th century, focusing on customer satisfaction and integrating the marketing mix—product, price, place, and promotion.
- **Societal and Digital Marketing:** Combines customer satisfaction with societal well-being, sustainability, and technology, as seen in brands like Patagonia and Amazon.
- **Definition of Market:** A market is a space for transactions, physical or virtual, involving goods or services for consumers or businesses.
- **Modern Marketing:** Focuses on identifying and meeting needs profitably, blending traditional and digital strategies, such as customisable campaigns by Cadbury.
- **Core Concepts:** Marketing includes needs, wants, demands, segmentation, positioning, branding, and customer satisfaction.
- **Customer-Centric:** Businesses like Amazon use data to personalise experiences, enhancing loyalty and satisfaction.
- **Value Creation:** Companies like Apple innovate to meet customer needs, integrating features and design to deliver high value.
- **Continuous Process:** Marketing adapts to changes, with brands like Netflix using data analytics and original content to stay relevant.
- **Relationship Building:** Loyalty programmes, such as Starbucks Rewards, strengthen customer relationships and repeat business.
- **Integrated Function:** Marketing links product development, sales, and customer service, as seen with Nike's consistent branding and tools like the Training Club app.

- **Scope of Marketing:** Includes goods (e.g., Nike sportswear), services (e.g., Spotify), industrial markets (e.g., IBM solutions), and consumer markets (e.g., Coca-Cola).
- **Digital Marketing:** Platforms like Instagram and Google Ads enable cost-effective global outreach, exemplified by ASOS's campaigns.
- **Societal Marketing:** Focuses on ethical and sustainable practices, as demonstrated by The Body Shop's cruelty-free campaigns.
- **Marketing Channels:** Pathways such as direct (e.g., Amazon) or indirect (e.g., Coca-Cola distributors) ensure efficient delivery to customers.
- **Paid, Owned, and Earned Media:** Effective marketing uses paid ads (e.g., Instagram campaigns), owned platforms (e.g., Tesco's website), and earned publicity (e.g., Dyson reviews).
- **Marketing Environment:** Includes internal factors like culture (e.g., Apple's innovation focus) and external forces such as PESTEL, influencing strategies like Unilever's sustainability campaigns.
- **Functions of Marketing:** Key functions include market research (e.g., Tesco's Clubcard for personalisation), product development (e.g., Dyson's innovations), pricing (e.g., Primark's affordability and Louis Vuitton's premium pricing), promotion (e.g., Coca-Cola's emotive campaigns), distribution (e.g., Amazon's logistics network), customer relationship management (e.g., Starbucks Rewards), and branding (e.g., Nike's iconic swoosh and slogan).
- **Importance of Marketing:** Marketing connects businesses with customers, builds brand awareness (e.g., Nike's "Just Do It"), adapts to trends (e.g., Unilever's sustainable products), drives innovation (e.g., Apple's iPhone), and fosters customer relationships (e.g., Tesco's loyalty programmes).
- **Selling vs Marketing:** Selling is product-focused, transactional, and uses push strategies (e.g., telecom promotions). Marketing is customer-focused, long-term, and employs pull strategies (e.g., Coca-Cola's storytelling).
- **Production Orientation:** Focuses on efficiency and affordability, often neglecting customer preferences (e.g., Ford's Model T). It works well in standardised markets but lacks variety.
- **Product Orientation:** Emphasises quality and innovation (e.g., Kodak's cameras) but risks market irrelevance if customer needs are overlooked.
- **Sales Orientation:** Centres on aggressive selling and short-term gains (e.g., telecom discounts), but often fails to build long-term customer loyalty.

- Marketing Orientation: Prioritises understanding and fulfilling customer needs (e.g., Amazon's personalisation), fostering loyalty and competitive advantage.
- Societal Marketing Orientation: Balances profitability with ethical practices and sustainability (e.g., The Body Shop's cruelty-free campaigns), appealing to conscious consumers.
- Holistic Marketing Orientation: Integrates all aspects of marketing, including branding, sustainability, and innovation (e.g., Nike's consistent global strategy), ensuring a unified brand image.





## 10. GLOSSARY

|                                                   |   |                                                                                                                                                                      |
|---------------------------------------------------|---|----------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Marketing Orientation</b>                      | - | The approach a business adopts to guide its strategies, such as production, product, sales, marketing, societal, or holistic orientations.                           |
| <b>Market</b>                                     | - | A collection of actual and potential buyers of a product or service, facilitating the exchange of goods, services, or value.                                         |
| <b>Needs, Wants, and Demands</b>                  | - | Fundamental concepts in marketing where needs are essential, wants are shaped by preferences, and demands are wants backed by purchasing power.                      |
| <b>Marketing Mix</b>                              | - | The combination of product, price, place, and promotion used by businesses to meet customer needs effectively.                                                       |
| <b>Customer-Centric</b>                           | - | A marketing strategy that places customer needs and preferences at the core of decision-making, aiming to enhance satisfaction and loyalty.                          |
| <b>Societal Marketing</b>                         | - | An approach aligning profitability with social responsibility, focusing on ethical practices and sustainability.                                                     |
| <b>Marketing Channels</b>                         | - | Pathways for delivering products or services from producers to consumers, either directly or through intermediaries.                                                 |
| <b>Paid, Owned, and Earned Media</b>              | - | Three components of marketing strategy; paid (advertisements), owned (company platforms), and earned (organic publicity).                                            |
| <b>Segmentation, Targeting, Positioning (STP)</b> | - | A framework dividing the market into segments, identifying the target audience, and positioning the product uniquely.                                                |
| <b>PESTEL Analysis</b>                            | - | A framework analysing external macro-environmental factors—Political, Economic, Social, Technological, Environmental, and Legal—that influence marketing strategies. |
| <b>Selling vs Marketing</b>                       | - | Selling focuses on transactions and persuading customers, while marketing is broader, customer-centric, and builds long-term relationships.                          |

|                               |                                                                                             |
|-------------------------------|---------------------------------------------------------------------------------------------|
| <b>Production Orientation</b> | - A focus on efficiency and affordability, often neglecting individual preferences.         |
| <b>Product Orientation</b>    | - Emphasises superior product quality and innovation but risks neglecting customer needs.   |
| <b>Societal Marketing</b>     | - Aligning business goals with ethical practices and social responsibility.                 |
| <b>Holistic Marketing</b>     | - Integrating branding, customer relationships, and sustainability into a unified strategy. |



## 11. TERMINAL QUESTIONS

1. Describe an exchange process with the help of an example.
2. Explain the core concepts of marketing.
3. What role does marketing play in an economy?
4. 'Marketing involves satisfaction of consumer needs'. Elucidate the statement.
5. What are the marketing concepts? Explain the evolution process of management philosophy.



## 12. ANSWERS

### Self-Assessment Questions

1. (b) A customer says they want an inexpensive car.
2. (b) Needs are universal, while wants are shaped by culture and preferences.
3. (b) A smartphone offering free software updates and warranties.
4. (c) Competitors, suppliers, and customers.
5. True
6. False
7. (b) Launching an eco-friendly product to address environmental concerns.
8. (a) Transportation and mobility.
9. (c) Secret needs.
10. (c) Political and legal forces.
11. (b) Persuading customers to purchase existing products.
12. (b) Coca-Cola creating emotional advertisements to attract customers.
13. (b) Pricing
14. (b) Offering loyalty programmes like Starbucks Rewards.
15. True
16. (b) Efficiency and affordability
17. (c) Product orientation
18. (b) The Body Shop with ethical sourcing
19. (b) Increasing short-term sales through promotions
20. (c) Holistic marketing orientation
21. True
22. False
23. True
24. False
25. True

## Terminal Questions Answers

**Answer 1:** Market is a place, physical or virtual, where buyers and sellers meet to exchange goods and services. Marketing is a process through which goods and services move from concept to the customer.

**Answer 2:** Exchange process involves an interaction between the buyer and seller in which each party gives something of value to the other. For example, sale of a book.

**Answer 3:** There are five core concepts of marketing: needs, products and services, exchange, customer value, and markets.

**Answer 4:** Marketing supports the process of economic development as it enhances quality of life of the people and generates employment.

**Answer 5:** Consumer needs are fundamental to the formulation of any marketing strategy, from developing a product to its delivery.

**Answer 6:** Marketing concepts aid a company in conducting their activities. There are five marketing concepts: production, product, selling, marketing and societal marketing.



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